

Case Study: NexTech Solutions (Pvt) Ltd – Growing through People and Innovation

Background

NexTech Solutions (Pvt) Ltd is a medium-sized Sri Lankan software company established in 2015 by three graduates from a local university. Starting with only six employees developing custom web applications for local businesses, the company has grown rapidly and now employs over 320 professionals, including software engineers, quality assurance engineers, UX designers, DevOps engineers, data scientists, business analysts, project managers, and support staff.

Today, NexTech serves clients in Sri Lanka, Australia, Singapore, the United Kingdom, and the Middle East. The company specializes in Artificial Intelligence (AI), cloud computing, enterprise software solutions, fintech applications, and mobile application development.

As the company expanded internationally, the founders realised that technical expertise alone was no longer sufficient. Managing people, maintaining quality, encouraging innovation, and sustaining employee motivation became equally important for long-term success.

Organizational Structure

Initially, NexTech operated with a **flat organizational structure**, where every employee reported directly to one of the founders. Decision-making was quick, communication was informal, and employees enjoyed considerable autonomy.

However, as the company expanded, managing hundreds of employees through a flat structure became increasingly difficult. The founders introduced a **functional organizational structure** with specialized departments including:

- Software Engineering
- Artificial Intelligence & Data Science
- Quality Assurance
- Project Management
- Human Resources
- Finance
- Marketing & Sales
- Research & Innovation

Each department is led by a Department Manager who reports to the Chief Executive Officer (CEO). Cross-functional project teams are formed for each client project, bringing together employees from multiple departments.

Management Style

The CEO believes that software professionals perform best when they are trusted and empowered rather than closely supervised.

Instead of giving detailed instructions, managers encourage employees to participate in decision-making, contribute ideas during sprint planning meetings, and propose innovative solutions to client problems.

Team leaders conduct weekly one-on-one meetings, focusing on coaching rather than monitoring.

However, during critical client deliveries or cybersecurity incidents, managers temporarily adopt a more directive leadership approach to ensure deadlines are met and risks are minimized.

Motivation and Employee Engagement

Competition for talented software engineers in Sri Lanka is intense. To retain skilled employees, NexTech has introduced several initiatives:

- Flexible working hours
- Hybrid working arrangements
- Performance bonuses
- Annual salary reviews
- Professional certification sponsorship
- Conference participation
- Innovation awards
- Internal hackathons
- Wellness programmes
- Career mentoring

Employees are encouraged to spend one day each month working on personal innovation projects. Several successful AI products developed during these innovation days have later become commercial solutions.

The company also recognises employees publicly during monthly town hall meetings, celebrating technical achievements, customer appreciation, and teamwork.

Leadership and Organizational Culture

The founders believe that innovation depends on collaboration rather than hierarchy.

Managers maintain an open-door policy, encouraging employees to discuss new ideas, workplace concerns, or technical challenges without fear of criticism.

The company promotes a culture of continuous learning through:

- Technical communities of practice
- Internal knowledge-sharing sessions
- Research seminars
- Mentoring programmes
- Graduate training schemes

Employees from different departments regularly collaborate on innovation projects and research publications.

Power and Decision-Making

While the CEO has ultimate authority over strategic decisions, operational decisions are largely decentralized.

Project Managers decide project schedules.

Technical Architects decide system architecture.

HR Managers oversee recruitment and employee development.

Team Leaders allocate daily tasks.

Experienced software engineers often influence technical decisions because of their expertise, even when they do not hold formal managerial positions.

The company recognises that **expert knowledge** can be just as influential as formal authority.

Communication

NexTech uses multiple communication channels:

- Microsoft Teams
- Jira
- Confluence
- Email
- Weekly sprint reviews
- Monthly town hall meetings
- Quarterly strategic planning sessions

Senior management shares company performance, future strategies, financial updates, and client success stories during quarterly meetings to promote transparency.

Managing Change

Recently, NexTech decided to integrate Generative AI into all software development teams.

Although many younger employees welcomed the change, some experienced developers expressed concerns about job security and the reliability of AI-generated code.

To support the transition, management introduced:

- AI training workshops
- Pilot projects
- Internal AI champions
- Peer mentoring
- Clear policies on responsible AI usage

Employees were invited to provide feedback throughout the implementation process, reducing resistance and increasing acceptance.

Ethical Management

As the company increasingly develops AI-powered healthcare and financial applications, ethical considerations have become an important management responsibility.

A Technology Ethics Committee reviews AI solutions before deployment, ensuring compliance with privacy regulations, fairness principles, cybersecurity requirements, and responsible AI guidelines.

Employees receive annual training on professional ethics, information security, diversity, inclusion, and responsible technology development.

Looking Ahead

NexTech plans to expand into Europe within the next three years. While the company has successfully built a strong technical reputation, its leadership recognises that future success will depend not only on technological excellence but also on effective management, employee wellbeing, innovation, collaboration, and ethical leadership.

The founders often remind employees:

“Great technology is created by great people working together.”

What are the Management Concepts Demonstrated in the above Case?

Planning

- Strategic expansion into international markets
- AI adoption strategy
- Long-term business growth planning

Organising

- Functional organisational structure
- Cross-functional project teams
- Clear division of responsibilities

Leading

- Coaching leadership
- Employee empowerment
- Participative decision-making
- Situational leadership

Controlling

- Sprint reviews
- Performance evaluations
- Project monitoring
- Ethical review processes

Organizational Structure

- Flat structure during startup phase
- Functional structure after expansion
- Cross-functional teams for projects

Management Styles

- Participative management
- Democratic leadership
- Situational leadership
- Coaching leadership

Leadership

- Visionary leadership
- Transformational leadership

- Team coaching
- Employee empowerment

Power

- Legitimate power (CEO)
- Expert power (Senior Engineers)
- Referent power (Founders)
- Reward power (Recognition programmes)

Authority

- Department Managers
- Project Managers
- Team Leaders
- Delegated decision-making

Motivation

- Flexible work arrangements
- Career development
- Recognition
- Innovation programmes
- Financial rewards
- Professional growth opportunities

Organizational Culture

- Innovation
- Collaboration
- Continuous learning
- Transparency
- Ethical behaviour

Communication

- Formal communication channels
- Informal communication
- Open-door policy
- Digital collaboration platforms

Teamwork

- Agile teams
- Cross-functional collaboration
- Knowledge sharing

- Communities of practice

Decision Making

- Decentralized operational decisions
- Strategic decisions by executive management
- Collaborative technical decisions

Change Management

- AI adoption
- Employee training
- Managing resistance
- Continuous improvement

Human Resource Management

- Recruitment
- Performance management
- Career development
- Employee wellbeing
- Retention strategies

Innovation Management

- Hackathons
- Research projects
- Innovation days
- AI product development

Ethics

- Responsible AI
- Privacy
- Cybersecurity
- Professional conduct
- Diversity and inclusion

Technology Management

- Digital transformation
- AI integration
- Cloud technologies
- Agile software development

Corporate Social Responsibility

- Ethical technology development
- Employee wellbeing
- Sustainable innovation
- Community engagement